

Technical Due Diligence



Vanalio Holdings LTD
Solar PV Parks 10,4MWp

Report

December 2024

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Executive Summary

Based on the documentation submitted so far, it is our first opinion that from the technical point of view the proposal forms a good business opportunity in the near future and the SPV should be examined as:

- The land plot No 9 in Agios Ioannis Malountas appears to have the ability to accommodate a PV Plant 1.4MWp, as per CERA licensed capacity, provided that the necessary low scale earthworks undertaken by a contractor with extensive experience in the PV field.
- The land plot No 45 in Agios Ioannis Malountas appears to have the ability to accommodate a PV Plant 3.5MWp, as per CERA licensed capacity, provided that the necessary low scale earthworks undertaken by a contractor with extensive experience in the PV field.
- The land plot No 47 in Agios Ioannis Malountas appears to have the ability to accommodate a PV Plant 1.6MWp, as per CERA licensed capacity, provided that the necessary low scale earthworks undertaken by a contractor with extensive experience in the PV field.
- The land plot No 149 in Agios Ioannis Malountas appears to have the ability to accommodate a PV Plant 5MWp, as per CERA licensed capacity, provided that the necessary low scale earthworks undertaken by a contractor with extensive experience in the PV field.
- The licensing process has been fully developed. Town planning licenses and building permits have been issued, along with the relevant annexes.
- The town Planning licences essential Terms described as below:
 - The earthworks, as regards the added soil must not exceed 1.20 meter from the existing topsoil surface.
 - All structures must be kept 9 meters away from the borderlines of the land plots 9, 45 and 47. For land plot 149 the distance is 6 meters away from the plot boundaries.
 - The installation of the photovoltaic park must be adapted to the existing slope of the ground. In case earthworks needed, the elevation differences must not exceed 1.2 meter from the existing topsoil surface.
 - The perimeter fencing must be 2.10-meter height as per annexed drawings.

- Final drawings with the existing and proposed altitudes expected in order to to conclude with the above-mentioned terms.
- The Grid Connection preliminary terms has been evolved. The final and binding to the parties Grid Connection Terms are expected, in order to conclude in this regard.
- The Department of Environment issued positive opinion for the 4 Solar PV Parks of Vanalio Holdings LTD respectively with the following essential terms:
 - The deforestation of vegetation, observed at various points of the land plots, especially at the edges and where there will be no use of PV modules must be avoided.
 - Large scale earthworks and large-scale deforestations for these land plots not allowed.
 - The fencing should not be fastened to the ground with concrete. Be mounted Special Environmental – friendly enclosure, so that the faun can enter and exit freely.
 - Final design of the PV plants expected in order to conclude with this regard.
- The lease agreements are valid until 26/11/2051. Until 11/02/2026 the land lease fee is 20% of the agreed land lease fee and after that is mandatory to pay 100% of the land lease fee. The total land lease fee is around €30,000.

As a final conclusion, the Vanalio Holdings Ltd Solar PV Projects are fully licensed, all the documents and permits are valid. The Solar PV Projects is a good business opportunity for investment in Cyprus.

I, Paschalis Zachariades, hereby confirm that the present Technical Due Diligence Report has been carried out by me.

Sincerely,



Dr. Paschalis Zachariades

Member of ETEK Cyprus(A128178),
 EMS (109/42/7470),
 IET (1100140126),
 Energy Institute UK (52611),
 IAENG (102937)

1. Permits

All the documents mentioned in this study which have been requested and issued for the implementation of the 10.4MWp PV Plants are listed and analyzed in this chapter. The permits have been issued according to the plans to produce electricity from renewable energy sources based on the Ministry of Energy, Commerce and industry / Energy Service decisions, relevant announcements.

Their conformity with the regulatory framework is assessed and any deviations identified are evaluated.

Here below listed are the main sectors evaluated, which includes:

- Town Planning Licence
- Building Permit
- Exemption/license exclusion for Construction from CERA,
- EAC Terms/Connection to the Grid,
- Lease agreement
- Environmental Aspects

1.1 Main Permits

1.1.1 Town Planning License

1. On 13/06/2019 the Town Planning and Housing Department issued Town Planning License with REF No.: AEY/00678/2018 to Mr. Charalambos Charalambous on behalf of Vanalio Holdings LTD

Application Capacity:

- 1.6MWp

Location

- Agios Ioannis Malountas, Nicosia

Plot

- Agios Ioannis Malountas, Nicosia, Plot No. 9, Sheet/Plan 29/47E1, Block: 4

License Duration:

The Town Planning permit is valid for 5 years. The extension of the Town Planning permit depends on the duration of CERA Photovoltaic Park and production licence time period. The application for the extension must be filled 3 months before the expired date of the license. Already the CERA licences have been extended until 31/12/2029. That means that the Town Planning Permits and Building Permits have extension until 31/12/2029.

Town Planning Licence Essential Terms:

- The earthworks, as regards the added soil must not be exceed 1.20 meter from the existing topsoil surface.
- All structures must be kept 9 meters away from the borderlines of the land plot.
- The installation of the photovoltaic park must be adapted to the existing slope of the ground. In case earthworks needed, the elevation differences must not exceed 1.2 meter from the existing topsoil surface.
- The perimeter fencing must be 2.10-meter height as per annexed drawings.

The Water Development Department (WDD) has requested that on the west side of the plot to keep an 8-meter distance from the riverbed. This is a protected zone, and no works or damages are allowed during the construction and operation of the Solar PV Park. Already the client has took this into consideration during the design of the PV Park.

No other objections have been identified in the documentation that was given us from the client.

2. On 13/06/2019 the Town Planning and Housing Department issued Town Planning License with REF No.: AEY/00679/2018 to Mrs. Anna Charalambous on behalf of Vanalio Holdings LTD

Application Capacity:

- 3.5MWp

Location

- Agios Ioannis Malountas, Nicosia

Plot

- Agios Ioannis Malountas, Nicosia, Plot No. 45, Sheet/Plan 29/31W2, Block: 2

License Duration:

The Town Planning permit is valid for 5 years. The extension of the Town Planning permit depends on the duration of CERA Photovoltaic Park and production licence time period. The application for the extension must be filled 3 months before the expired date of the license.

Town Planning Licence Essential Terms:

- The earthworks, as regards the added soil must not be exceed 1.20 meter from the existing topsoil surface.
- All structures must be kept 9 meters away from the borderlines of the land plot.
- The installation of the photovoltaic park must be adapted to the existing slope of the ground. In case earthworks needed, the elevation differences must not exceed 1.2 meter from the existing topsoil surface.
- The perimeter fencing must be 2.10-meter height as per annexed drawings.

No objections have been identified in the documentation that was given us from the client.

3. On 12/06/2019 the Town Planning and Housing Department issued Town Planning License with REF No.: AEY/00684/2018 to Mr. Charalambos Charalambous on behalf of Vanalio Holdings LTD

Application Capacity:

- 1.4MWp

Location

- Agios Ioannis Malountas, Nicosia

Plot

- Agios Ioannis Malountas, Nicosia, Plot No. 47, Sheet/Plan 29/31W2, Block: 2

License Duration:

The Town Planning permit is valid for 5 years. The extension of the Town Planning permit depends on the duration of CERA Photovoltaic Park and production licence time period. The application for the extension must be filled 3 months before the expired date of the license.

Town Planning Licence Essential Terms:

- The earthworks, as regards the added soil must not be exceed 1.20 meter from the existing topsoil surface.
- All structures must be kept 9 meters away from the borderlines of the land plot.
- The installation of the photovoltaic park must be adapted to the existing slope of the ground. In case earthworks needed, the elevation differences must not exceed 1.2 meter from the existing topsoil surface.
- The perimeter fencing must be 2.10-meter height as per annexed drawings.

No objections have been identified in the documentation that was given us from the client.

4. On 31/12/2018 the Town Planning and Housing Department issued Town Planning License with REF No.: AEY/00409/2018 to Mrs. Maria Orphanidou on behalf of Vanalio Holdings LTD

Application Capacity:

- 3.9MWp

Location

- Agios Ioannis Malountas, Nicosia

Plot

- Agios Ioannis Malountas, Nicosia, Plot No. 149, Sheet/Plan 29/31E1, Block: 3

License Duration:

The Town Planning permit is valid for 5 years. The extension of the Town Planning permit depends on the duration of CERA Photovoltaic Park and production licence time period. The application for the extension must be filled 3 months before the expired date of the license.

Town Planning Licence Essential Terms:

- The earthworks, as regards the added soil must not be exceed 1.20 meter from the existing topsoil surface.
- All structures must be kept 9 meters away from the borderlines of the land plot.
- The installation of the photovoltaic park must be adapted to the existing slope of the ground. In case earthworks needed, the elevation differences must not exceed 1.2 meter from the existing topsoil surface.

- The perimeter fencing must be 2.10-meter height as per annexed drawings.

No objections have been identified in the documentation that was given us from the client.

1.1.2 Exception/license exclusion for Construction from CERA

On 23/04/2018 the exception/exclusion for construction from CERA licenses E1940/2018 1400kWp Capacity, was issued for Vanalio Holdings LTD(HE375686). The CERA licence is extended until 31/12/2024.

On 24/04/2018 the exception/exclusion for construction from CERA licenses E1958/2018 3500kWp Capacity, was issued for Vanalio Holdings LTD(HE375686). The CERA licence is extended until 31/12/2024.

On 20/04/2018 the exception/exclusion for construction from CERA licenses E1941/2018 1600kWp Capacity, was issued for Vanalio Holdings LTD(HE375686). The CERA licence is extended until 31/12/2024.

On 24/04/2018 the exception/exclusion for construction from CERA licenses E1900/2018 5000kWp Capacity, was issued for Vanalio Holdings LTD(HE375686). The CERA licence is extended until 31/12/2024.

The exception/exclusion for construction from CERA licenses are extended for another 5 years until 31/12/2029.

1.1.3 Building Permit

For the commencement of the construction works a building permit should be obtained.

Such permits have been issued already as follows:

- License 44429 on 11/1/2021 for 1.4MWp – Plot 9
- License 41999 on 27/1/2021 for 3.5MWp – Plot 45
- License 41373 on 15/1/2020 for 1.6MWp – Plot 47
- License 38840 on 7/5/2019 for 5MWp – Plot 149

Building Permit essential Terms:

- Before the project start, the Department of Land and Surveys (DLS) should be issue land delimitation certificate (Πιστοποιητικό Εξωτερικής Οριοθέτησης) and defined the boundaries of the land plot and the public roads.

- All the earthworks required, must be done according to the drainage study, to facilitate the PV Plant installation works. The drainage for the storm water should not be end up in neighbouring land plots or public roads.
- For Plot 149 should be register to the DLS a public road width 1.6 meter from the boundaries of the plot as per drawings.

1.1.4 EAC(DSO) Connection Terms

Based on the application submission from Vanalio Holdings LTD the following Reference No. were issued from EAC (DSO) for Preliminary Connection Terms:

- PV Park 1.6MWp EAC (DSO) 400387220
- PV Park 3.5MWp EAC (DSO) 400387472
- PV Park 1.4MWp EAC (DSO) 400387217
- PV Park 3.9MWp EAC (DSO) 400384879

On 24/1/2023 TSO informed Vanalio Holdings LTD that there is no availability on the Area Grid for connection of the 4 Solar PV Parks. In addition, TSO and EAC (DSO) requested from the client to express its interest for connecting the 4 Solar PV Parks in the near future in order to TSO to take into consideration the 4 Solar PV Parks. On the 21/9/2023 Vanalio Holdings LTD expressed its interest to TSO and EAC (DSO) for including the 4 Solar PV Parks in the future plans for connection.

At the same area EAC is developing its own Solar PV Projects, with a total capacity of 68MWp. The area Substation and Grid is under development for upgrading it. The upgrade based on the schedule that TSO and EAC published will be completed in 24 months.

1.1.5 Land Lease Agreement

There is a lease agreement between the landowners and Vanalio Holdings LTD. The lease agreements are valid until 26/11/2051. Until 11/02/2026 the land lease fee is 20% of the agreed land lease fee and after that is mandatory to pay 100% of the land lease fee. The total land lease fee is around €30,000.

1.1.6 Environmental Aspects

The Department of Environment issued positive opinion for the 4 Solar PV Parks of Vanalio Holdings LTD respectively with the following essential terms:

- The deforestation of vegetation, observed at various points of the land plots, especially at the edges and where there will be no use of PV modules must be avoided.
- Large scale earthworks and large-scale deforestations for these land plots not allowed.
- The fencing should not be fastened to the the ground with concrete. Be mounted Special Environmental.